

ComplianceCheck

Pay-as-you-go Compliance Assessments for Indian SMEs

Labour Code Readiness Assessment Report

India's Four New Labour Codes (2019-2020)

Code on Wages | Social Security | OSH | Industrial Relations

Prepared For

Sample Enterprises Pvt Ltd

Maharashtra | Manufacturing

Employees: 51-100

Assessment Date: 25 July 2026

33%

Overall Compliance Score

Executive Summary

33%

Overall Compliance Score

Risk Level

Critical Risk

Penalty Exposure

Severe

Category-wise Compliance

Category	Score	Compliance
General	33%	10/30

Key Findings

- * Total Compliance Score: 33%
- * Risk Level: Critical Risk
- * Areas Requiring Attention: 20 High Priority Items
- * Compliant Areas: 10 areas meet requirements

HIGH Priority Action Items

Address immediately to mitigate compliance risks.

HIGH

Code on Wages

Basic wages must constitute at least 50% of total remuneration

"Code on Wages 2019, Section 2(y) - Definition of Wages"

Steps to Address:

1. Export current salary structure for all employees
2. Calculate basic wages as percentage of gross for each employee
3. Identify employees with basic < 50% of gross
4. Restructure salary: reduce HRA/Special Allowance, increase Basic
5. Issue revised appointment letters with new salary structure
6. Recalculate PF contributions at new basic wage
7. Recalculate gratuity liability (15 days per year at new basic)
8. Update payroll software with revised structure
9. Communicate changes to employees with comparison statement

Deadline: Before Labour Code enforcement (expected November 2025)

Penalty: Non-compliance may result in reclassification of allowances as wages, leading to increased PF/Gratuity liability with re

Ref: Code on Wages 2019, Section 2(y) - Definition of Wages

HIGH

Code on Wages

Pay overtime at 2x normal wage rate

"Code on Wages 2019, Section 14"

Steps to Address:

1. Review current overtime policy and actual payment rates
2. Calculate correct overtime rate: $(\text{Basic} + \text{DA}) / 26 / 8 \times 2$
3. Audit overtime hours for past 3 months
4. Calculate differential between paid and due amounts
5. Pay arrears immediately with documented breakdown
6. Update overtime policy to reflect 2x rate
7. Configure payroll system to auto-calculate at 2x
8. Train supervisors on overtime approval and calculation
9. Implement overtime tracking system (manual register or digital)

Deadline: Immediate - payable with regular wages

Penalty: Rs. 50,000 fine; repeat offences up to Rs. 1,00,000 with imprisonment up to 3 months

Ref: Code on Wages 2019, Section 14

HIGH

Code on Wages

Ensure equal remuneration for equal work regardless of gender

"Code on Wages 2019, Section 3"

Steps to Address:

1. Conduct pay equity audit across all roles
2. Compare compensation by gender for same job function
3. Document legitimate differentials (experience, qualifications, performance)
4. Eliminate unjustified gender-based pay gaps
5. Update compensation policy with equal pay provisions
6. Train HR and hiring managers on non-discriminatory compensation
7. Implement structured pay bands for each role
8. Review annually and document findings

Deadline: Continuous compliance

HIGH

Code on Wages

Pay annual bonus of 8.33% to 20% of wages

"Code on Wages 2019, Section 26-32"

Steps to Address:

1. Identify all eligible employees (worked 30+ days, wages up to Rs. 21,000/month)
2. Calculate allocable surplus from annual accounts
3. Determine bonus percentage (minimum 8.33%, maximum 20%)
4. Calculate individual bonus: (Salary or Rs. 7,000 whichever is lower) x bonus %
5. Prepare bonus calculation sheet for each employee
6. Disburse bonus before 8-month deadline
7. Issue Form D (bonus receipt) to each employee
8. Maintain bonus register (Form A) for inspection

Deadline: Within 8 months of accounting year close

Penalty: Rs. 50,000 fine; up to 1 month imprisonment for repeat offence

Ref: Code on Wages 2019, Section 26-32

HIGH

Code on Social Security

Register with EPFO and remit contributions by 15th of following month

"Code on Social Security 2020, Section 6; EPF Act 1952"

Steps to Address:

1. Register on EPFO Unified Portal (unifiedportal-emp.epfindia.gov.in)
2. Obtain establishment code by submitting Form 5A
3. Register all eligible employees (earning up to Rs. 15,000/month basic + DA)
4. Generate UAN for each employee
5. Calculate contributions: Employer 12% + Employee 12% of (Basic + DA)
6. File Electronic Challan cum Return (ECR) by 15th
7. Pay through online banking/SBI/authorized banks
8. Submit monthly IW-1 return
9. Obtain and retain challan receipts

Deadline: Registration within 1 month of reaching 20 employees; contributions by 15th monthly

Penalty: Rs. 5,000 - Rs. 25,000 fine; 1% interest per month on delayed contributions; up to 1 year imprisonment

Ref: Code on Social Security 2020, Section 6; EPF Act 1952

HIGH

Code on Social Security

Register with ESIC and remit contributions by 15th of following month

"Code on Social Security 2020, Section 28; ESI Act 1948"

Steps to Address:

1. Register on ESIC portal (esic.gov.in)
2. Obtain employer code number
3. Register all employees earning up to Rs. 21,000/month (Rs. 25,000 for PwD)
4. Generate Insurance Number (IP Number) for each employee
5. Calculate contributions: Employer 3.25% + Employee 0.75% of gross wages
6. File contribution through ESIC portal by 15th
7. Submit half-yearly returns (RC-11)
8. Display ESIC certificate at workplace
9. Inform employees about nearest ESI dispensary/hospital

Deadline: Registration within 15 days of applicability; contributions by 15th monthly

Penalty: Rs. 5,000 - Rs. 25,000 fine; 12% interest per annum on delayed contributions; imprisonment up to 2 years

Ref: Code on Social Security 2020, Section 28; ESI Act 1948

HIGH

Code on Social Security

Provide maternity benefits as per statutory entitlements

"Code on Social Security 2020, Section 60-67; Maternity Benefit Act 1961"

Steps to Address:

1. Update maternity policy to reflect new entitlements
2. 26 weeks paid leave for first two children
3. 12 weeks for third child onwards
4. 12 weeks for adoptive/commissioning mothers (child < 3 months)
5. Work from home option for 6 months post return (nature of work permitting)
6. No termination during maternity period
7. Calculate average daily wage for maternity payment
8. Inform employees of entitlements in writing
9. Maintain maternity benefit register

Deadline: Continuous compliance; payments due on regular pay dates

Penalty: Rs. 50,000 - Rs. 5,00,000 fine; 3 months to 1 year imprisonment

Ref: Code on Social Security 2020, Section 60-67; Maternity Benefit Act 1961

HIGH

Code on Social Security

Provide creche facility for establishments with 50+ employees

"Code on Social Security 2020, Section 67"

Steps to Address:

1. Assess number of children requiring creche (age 0-6 years)
2. Option 1: Establish on-site creche within 500 meters
3. Option 2: Tie-up with approved creche facility nearby
4. Option 3: Provide creche allowance (state-specific rules)
5. Ensure facility meets prescribed standards (space, staff, safety)
6. Allow 4 visits per day to creche during work hours
7. Display creche location and timings at workplace
8. Maintain attendance register for children

Deadline: Within 6 months of reaching 50 employees

Penalty: Rs. 50,000 - Rs. 2,00,000 fine

Ref: Code on Social Security 2020, Section 67

HIGH

Code on Social Security

Ensure fixed-term employees receive equal benefits

"Code on Social Security 2020, Section 2(26)"

Steps to Address:

1. Identify all employees on fixed-term contracts
2. Compare benefits with permanent employees in same role
3. Ensure equal wages for equal work
4. Provide pro-rata bonus, leave, and other benefits
5. Include in EPF/ESI if meeting wage thresholds
6. Gratuity eligibility after 1 year (not 5 years)
7. Issue clear fixed-term contract specifying term and benefits
8. Do not use fixed-term contracts to avoid permanent employment obligations
9. No termination without notice as per contract

Deadline: Continuous compliance

Penalty: Rs. 50,000 fine; employee compensation claims

Ref: Code on Social Security 2020, Section 2(26)

HIGH

Code on Social Security

Comply with inter-state migrant worker provisions

"Code on Social Security 2020, Section 68-74"

Steps to Address:

1. Identify inter-state migrant workers (from other state for Rs. 18,000/month or less)
2. Register migrant workers on Shram Suvidha Portal
3. Provide displacement allowance (one-time)
4. Ensure journey allowance for annual home visit
5. Provide suitable accommodation or allowance
6. Deduct and remit employee share of benefits
7. Maintain register of inter-state migrant workers
8. Display information about entitlements in workers language
9. Facilitate banking and ration card portability

Deadline: Continuous compliance for establishments engaging migrants

Penalty: Rs. 50,000 - Rs. 2,00,000 fine

Ref: Code on Social Security 2020, Section 68-74

HIGH

OSH Code

Maintain working hours within statutory limits (8 hours/day, 48 hours/week)

"OSH Code 2020, Section 25-26"

Steps to Address:

1. Audit current working hours using attendance records
2. Maximum: 8 hours/day, 48 hours/week (including overtime)
3. Overtime must not exceed 125 hours per quarter
4. Spread over (including rest intervals) not to exceed 10.5 hours
5. Mandatory weekly off (1 day in 7)
6. Implement time tracking system
7. Train supervisors on hour limits
8. Schedule work to avoid regular overtime
9. Consider shift rotations for extended operations

Deadline: Continuous compliance

Penalty: Rs. 2,00,000 fine; repeat violations up to Rs. 5,00,000 with 3 months imprisonment

Ref: OSH Code 2020, Section 25-26

HIGH

OSH Code

Obtain written consent for overtime work

"OSH Code 2020, Section 27"

Steps to Address:

1. Create overtime consent form template
2. Include: date, expected hours, reason, employee signature
3. Obtain consent before each overtime assignment (or standing consent with opt-out)
4. Maintain consent records for minimum 3 years
5. Never force overtime - it must be voluntary
6. Communicate overtime limits (125 hours/quarter)
7. Pay overtime wages on regular pay date
8. Allow employees to refuse overtime without penalty

Deadline: Before assigning overtime

Penalty: Rs. 1,00,000 fine for forced overtime

Ref: OSH Code 2020, Section 27

HIGH

OSH Code

Register as principal employer for contract labour (50+ workers)

"OSH Code 2020, Section 45-54"

Steps to Address:

1. Count all contract workers engaged through contractors
2. If 50+, register as principal employer on Shram Suvidha
3. Ensure contractors have valid license
4. Verify contractors wage payments monthly
5. Maintain register of contractors and contract workers
6. Display contract labour work order details
7. Ensure contract workers get wages equal to regular workers for same work
8. No contract labour in core activities
9. Pay workers directly if contractor defaults

Deadline: Before engaging 50+ contract workers

Penalty: Rs. 1,00,000 - Rs. 5,00,000 fine; imprisonment up to 3 months

Ref: OSH Code 2020, Section 45-54

HIGH

OSH Code

Provide canteen facility for 100+ workers

"OSH Code 2020, Second Schedule"

Steps to Address:

1. Assess canteen requirement based on worker count
2. Option 1: Establish on-site canteen meeting standards
3. Option 2: Contract with approved catering service
4. Minimum standards: clean, adequate seating, hygienic food preparation
5. Food must be subsidized or at no-profit basis
6. Canteen committee with worker representation
7. Display menu and prices prominently
8. Maintain FSSAI compliance for food service
9. Regular health inspection of canteen facility

Deadline: Within 6 months of reaching 100 workers

Penalty: Rs. 50,000 - Rs. 2,00,000 fine

Ref: OSH Code 2020, Second Schedule

HIGH

OSH Code

Constitute Safety Committee for 500+ workers

"OSH Code 2020, Section 22"

Steps to Address:

1. Form Safety Committee with equal employer-worker representation
2. Minimum composition as per state rules (typically 10-20 members)
3. Include: management reps, supervisor reps, worker reps, safety officer
4. Committee functions: safety audits, accident investigation, policy review
5. Meet at least quarterly (monthly recommended)
6. Maintain minutes of all meetings
7. Implement committee recommendations
8. Display Safety Committee notice board
9. Report to labour department on committee activities

Deadline: Within 3 months of reaching 500 workers

Penalty: Rs. 2,00,000 fine; criminal liability for safety incidents

Ref: OSH Code 2020, Section 22

HIGH

Industrial Relations Code

Constitute Grievance Redressal Committee (GRC) for 20+ workers

"Industrial Relations Code 2020, Section 4"

Steps to Address:

1. Form GRC with equal employer and worker representation
2. Maximum 10 members total
3. Include proportionate women representation
4. Chairperson from employer side; Co-chair from worker side
5. Term of members: 2 years
6. GRC must resolve grievances within 30 days
7. Unresolved grievances escalate to conciliation within 60 days
8. Maintain grievance register and resolution records
9. Display GRC member names and grievance procedure
10. Train committee members on grievance handling

Deadline: Within 3 months of reaching 20 workers

Penalty: Rs. 50,000 - Rs. 2,00,000 fine

Ref: Industrial Relations Code 2020, Section 4

HIGH

Industrial Relations Code

Constitute Works Committee for 100+ workers

"Industrial Relations Code 2020, Section 3"

Steps to Address:

1. Form Works Committee with equal employer-worker representation
2. Worker representatives elected by workers (not nominated)
3. Employer representatives nominated by management
4. Functions: promote good relations, consult on matters of common interest
5. Matters: productivity, welfare, training, safety, conditions of work
6. Meet at least quarterly
7. Maintain minutes of meetings
8. Implement agreed recommendations
9. Committee is consultative, not negotiating body

Deadline: Within 3 months of reaching 100 workers

Penalty: Rs. 50,000 fine

Ref: Industrial Relations Code 2020, Section 3

HIGH

Industrial Relations Code

Serve 14-day strike notice and inform government

"Industrial Relations Code 2020, Section 62"

Steps to Address:

1. Understand new requirement: 14-day notice applies to ALL establishments (not just public utilities)
2. Strike definition expanded: includes concerted casual leave by 50%+ workers
3. Notice must be in prescribed format
4. Submit copy to conciliation officer within 5 days of giving notice
5. Notice valid for maximum 60 days
6. Strike prohibited during: conciliation proceedings + 7 days after; tribunal proceedings + 60 days after
7. Strike prohibited during operation of settlement/award
8. Train managers on recognizing strike indicators early
9. Establish early warning system for labor disputes

Deadline: 14 days before any proposed work stoppage

Penalty: Strike without notice: fine up to Rs. 50,000 and imprisonment up to 1 month for workers; illegal lockout: Rs. 5,00,000 fine

Ref: Industrial Relations Code 2020, Section 62

HIGH

Industrial Relations Code

Recognize trade unions meeting membership thresholds

"Industrial Relations Code 2020, Section 14"

Steps to Address:

1. Understand recognition thresholds:
2. Sole negotiating union: 51%+ workers as members
3. Negotiating council: 20%+ membership (when no 51% union exists)
4. Minimum members for registration: 7 workers
5. Recognition valid for 3 years (extendable to 5)
6. Verify membership claims through check-off/verification
7. Recognize union within 30 days if threshold met
8. Negotiate in good faith with recognized union
9. Do not interfere with union activities
10. Allow union meetings during non-working hours

Deadline: Within 30 days of application for recognition

Penalty: Unfair labour practice: Rs. 2,00,000 fine; 6 months imprisonment

Ref: Industrial Relations Code 2020, Section 14

HIGH

Industrial Relations Code

Ensure equal treatment for fixed-term employees

"Industrial Relations Code 2020, Section 2(p)"

Steps to Address:

1. Review all fixed-term contracts
2. Compare terms with permanent employees in same category
3. Ensure equal wages for equal work
4. Provide pro-rata benefits: bonus, leave, provident fund
5. Fixed-term contracts must specify duration clearly
6. Cannot terminate before term without cause
7. No conversion to permanent required regardless of renewals
8. Document legitimate business reason for fixed-term engagement
9. Issue proper appointment letter specifying fixed term

Deadline: Continuous compliance

Penalty: Rs. 50,000 fine; employee claims for differential treatment

Ref: Industrial Relations Code 2020, Section 2(p)

Compliant Areas (10)

These areas meet India's Four New Labour Codes (2019-2020) requirements based on your responses

Code on Wages

- [Y] Pay minimum wages as per Central/State notification
- [Y] Disburse wages within 7 days of wage period end
- [Y] Limit wage deductions to legally permitted categories

Code on Social Security

- [Y] Maintain gratuity provision/insurance for eligible employees
- [Y] Register gig/platform workers on social security portal

OSH Code

- [Y] Register establishment on Shram Suvidha Portal
- [Y] Provide safety measures for women working night shifts
- [Y] Appoint welfare officer for 250+ workers (hazardous industries)

Industrial Relations Code

- [Y] Certify Standing Orders for 300+ workers
- [Y] Obtain government permission before retrenchment (300+ workers)

Next Steps & Resources

Recommended Timeline

Period	Action
Immediate	Address HIGH priority items
Short-term (30-60 days)	Complete MEDIUM priority items
Ongoing	Implement LOW priority improvements
Annual	Re-assessment and compliance review

Government Resources

Ministry of Labour & Employment

<https://labour.gov.in>

Shram Suvidha Portal

<https://shramsuvidha.gov.in>

EPFO Portal

<https://unifiedportal-emp.epfindia.gov.in>

ESIC Portal

<https://www.esic.gov.in>

e-Shram Portal

<https://eshram.gov.in>

Applicable Legislation

- * Code on Wages, 2019
- * Code on Social Security, 2020
- * Occupational Safety, Health and Working Conditions Code, 2020
- * Industrial Relations Code, 2020

Key Compliance Deadlines

- * Labour Code Implementation: Expected November 2025
- * Salary Restructuring (50% Basic): Before enforcement date
- * New PF/Gratuity Calculations: From enforcement date
- * Updated Standing Orders: Within 6 months of enforcement
- * OSH Compliance: Immediate upon enforcement

Schedule Your Next Assessment

We recommend re-assessing your compliance status every 6-12 months. Visit compliancecheck.co.in to schedule your next assessment.

Disclaimer: This report is generated based on your responses and should not be construed as legal advice. Please consult with a legal professional for specific compliance guidance.

Report Generated: 25 July 2026

Assessment ID: SAMPLE-LABOUR-CODE

Generated by ComplianceCheck.co.in | This report does not constitute legal advice